

STATE BANK OF INDIA
Corporate Banking Group – Large Corporate Division
Nariman Point Branch, Mumbai

CREDIT APPRAISAL MEMORANDUM (CAM)

BORROWER

INFOSYS LIMITED

CIN: L85110KA1981PLC013115 | BSE: 500209 | NSE: INFY | NYSE: INFY

Proposal type	Total exposure proposed	Internal credit rating
Renewal & Enhancement – Working Capital + Term Loan	₹ 2,500 Crore (Fund-based: ₹ 1,800 Cr NFB: ₹ 700 Cr)	SBI-1 (Equivalent to AAA)
Relationship manager	Circle	Date of proposal
Shri Arvind Kumar Sharma (AGM)	Corporate Banking Group, Mumbai	15 March 2025

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1. Executive Summary

This Credit Appraisal Memorandum (CAM) is prepared for the consideration of the Credit Committee (CC) of State Bank of India, Corporate Banking Group, Mumbai, for renewal and enhancement of credit facilities to Infosys Limited. The proposal has been evaluated by the Relationship Manager, independently reviewed by the Credit Risk unit, and endorsed by the Circle Head.

Parameter	Details
Borrower	Infosys Limited – India's second-largest IT services company by revenue, headquartered in Bengaluru, Karnataka. Listed on BSE, NSE, and NYSE.
Constitution	Public Limited Company incorporated under the Companies Act, 1956. Registered with ROC, Karnataka.
Industry / Sector	Information Technology (IT) Services & Consulting NIC Code: 6201
Existing credit limit	₹ 1,800 Crore (Fund-based: ₹ 1,200 Cr Non-fund-based: ₹ 600 Cr) — Sanctioned 18 March 2023
Proposed credit limit	₹ 2,500 Crore (Fund-based: ₹ 1,800 Cr Non-fund-based: ₹ 700 Cr) — Enhancement of ₹ 700 Cr
Purpose	Working Capital (CC/WCDL): Fund short-term operational expenses, payroll, and vendor payments. BG/LC: Support client SLAs and performance guarantees globally. Term Loan: Partial funding of campus expansion at Electronic City, Bengaluru.
Tenor	Working Capital: 12 months (renewable) Term Loan: 5 years with 6-month moratorium
Rate of interest	MCLR (1-year) + 0.10% p.a. Effective rate: 8.75% p.a. (as of March 2025)
Security	Primary: Pari-passu first charge on current assets. Collateral: First charge on movable fixed assets (select campuses). Guarantee: Corporate guarantee of Infosys BPM Limited (wholly-owned subsidiary).
Asset classification	Standard IRAC Status: Regular SMA Status: Nil
Internal credit rating	SBI-1 Score: 92/100 Rating date: 10 February 2025 Model: SBI-LCM v3.0
External rating	CRISIL AAA / Stable ICRA AAA / Stable India Ratings AAA / Stable
CRILC status	Not reported as stressed. Aggregate credit exposure < RBI threshold for mandatory CRILC review.
Group exposure	Group entities: Infosys BPM, EdgeVerve Systems, Infosys Compaz. Total group exposure including proposed: ₹ 2,750 Cr against group limit of ₹ 5,000 Cr (55% utilisation).
Recommendation	APPROVAL RECOMMENDED. The account represents a flagship relationship with one of India's most creditworthy corporate borrowers. The enhancement is supported by strong revenue growth, zero debt on the standalone balance sheet, and a consistent dividend track record. The credit risk is commensurate with SBI-1 rating.

Note: All financial figures are on a standalone India GAAP basis unless otherwise stated. Consolidated financials are referenced where relevant. Exchange rate assumed: USD 1 = INR 83.25 (March 2025).

2. Borrower Profile

2.1 Corporate Identification

Field	Details	Source / Remarks
Full legal name	Infosys Limited	MCA21 / Annual Report
CIN	L85110KA1981PLC013115	MCA21
Date of incorporation	02 July 1981	Certificate of Incorporation
Registered office	Electronics City, Hosur Road, Bengaluru – 560 100, Karnataka	ROC Records
Corporate office	IFSC Gift City, Gandhinagar, Gujarat (Global HQ for banking ops)	Company website
PAN	AAACI7406E	Income Tax Records
GST (HO)	29AAACI7406E1ZB	GSTIN Portal
Statutory auditor	Deloitte Haskins & Sells LLP	Annual Report FY2024
Listed exchanges	BSE (500209) NSE (INFY) NYSE (INFY)	Exchanges
Market capitalisation	₹ 6,12,000 Crore (approx. USD 73.5 Bn) as of 31 March 2025	BSE / NSE
Credit facilities banker	SBI (Lead) HDFC Bank ICICI Bank Citibank India	Bank records
Auditor remark	Unqualified opinion for FY2024. No material weaknesses reported.	Statutory Audit Report

2.2 Business Overview

Infosys Limited is a global leader in next-generation digital services and consulting. Founded in 1981 by N.R. Narayana Murthy and six co-founders with an initial capital of USD 250, Infosys has grown into a USD 18.6 billion enterprise (consolidated FY2024 revenue) with over 317,000 employees across 56 countries. The company operates across five verticals: Financial Services, Retail & Consumer Business, Communication, Energy, Utilities, Resources & Services, and Manufacturing.

Infosys offers services spanning IT consulting, application development & maintenance (ADM), business process management (BPM), cloud & infrastructure, data analytics, and enterprise resource planning (ERP). Key products include Finacle (core banking platform), Infosys Equinox (commerce platform), and EdgeVerve (AI-powered workflow automation). The Cobalt cloud platform is central to its transformation strategy.

2.3 Management Profile

Name	Designation	Experience	Remarks
Nandan M. Nilekani	Non-Executive Chairman	43 years	Co-founder; former UIDAI Chairman
Salil S. Parekh	CEO & Managing Director	31 years	Appointed Jan 2018; re-appointed 2022
Nilanjan Roy	Chief Financial Officer	28 years	Joined Infosys 2019
Inderpreet Sawhney	Chief Legal Officer & General Counsel	25 years	Oversees compliance & legal globally
Mohit Joshi	President (Banking, FS)	22 years	Drives BFSI vertical

	& Insurance)		globally
D. Sundaram	Independent Director	40 years	Ex-CFO, HUL; Audit Committee Chair
Chitra Nayak	Independent Director	30 years	Former Cisco executive

2.4 Promoter / Shareholder Pattern

Shareholder category	% holding (Sep 2024)	Remarks
Promoters (Nilekani & family, Murthy & family, others)	14.89%	Lock-in: Nil (founders diluted over time)
Foreign Portfolio Investors (FPIs)	32.61%	Includes LIC, Vanguard, BlackRock
Domestic Institutional Investors (DIIs)	19.22%	LIC: 6.1%, Mutual Funds: 13.1%
Public / Retail shareholders	33.28%	Broad-based ownership

The shareholding pattern reflects a professionally managed, widely-held company with no single dominant promoter group. Institutional ownership is high, providing governance oversight. No pledging of promoter shares has been reported.

2.5 Group Structure & Associates

Infosys operates through a lean holding structure with key subsidiaries involved in technology services and BPM operations globally.

- Infosys BPM Limited: Wholly-owned subsidiary — BPM services globally
- EdgeVerve Systems Limited: Wholly-owned subsidiary — AI/workflow products
- Infosys Compaz Pte. Ltd.: Wholly-owned subsidiary — Singapore (APAC IT services)
- Infosys Public Services Inc.: Wholly-owned subsidiary — USA (public sector contracts)
- Infosys Fluidio GmbH & Co. KG: Wholly-owned subsidiary — Germany (Salesforce consulting)

No material related-party transactions that could adversely impact the borrower's creditworthiness have been identified during the review.

3. Industry & Business Analysis

3.1 Indian IT Industry Overview

The Indian IT-BPM sector remains one of the most resilient pillars of the Indian economy. NASSCOM estimates total industry revenues of USD 254 billion for FY2024, with exports at USD 199 billion. India continues to dominate global sourcing of IT services with a 55%+ market share. The sector employs approximately 5.4 million professionals directly and contributes nearly 9.5% to India's GDP.

Demand drivers include accelerating cloud migration (driven by hyperscalers — AWS, Azure, Google), AI/ML integration across enterprise workflows, cybersecurity spend, and digital transformation in BFSI, healthcare, and manufacturing. Near-term headwinds include macroeconomic uncertainty in North America and Europe (key markets), client budget optimisation cycles, and rising talent attrition costs.

3.2 Competitive Landscape

Infosys competes primarily with Tata Consultancy Services (TCS), Wipro, HCLTech, Tech Mahindra, and globally with Accenture, IBM Services, Cognizant, and Capgemini. Infosys holds the second position in India by IT services revenue (after TCS) and is the fastest-growing among the Big-4 Indian IT firms in the large-deal pipeline.

3.3 Revenue Segment & Geography Mix

Vertical-wise revenue breakdown (FY2024 Consolidated)

Vertical	Revenue mix (FY2024)	Growth YoY
Financial Services	27.4%	-1.2% (flat due to BFSI spend freeze)
Retail, Consumer & Logistics	14.9%	+3.1%
Communication	11.8%	-2.0% (telecom capex cuts)
Energy, Utilities, Resources & Services	13.2%	+5.8%
Manufacturing	12.7%	+7.2%
Hi-Tech	10.0%	+2.5%
Others (Life Sciences, Healthcare, etc.)	10.0%	+4.0%

Geography-wise revenue breakdown (FY2024 Consolidated)

Geography	Revenue mix (FY2024)	Trend
North America	60.2%	Largest market; recovery expected H2 FY2025
Europe	26.5%	Steady; DACH and UK strong
Rest of World (APAC, India, Middle East)	13.3%	Fastest-growing segment

3.4 SWOT Analysis

Strengths

- Strong brand and 40+ year track record in global IT services delivery.
- Best-in-class EBIT margins (20.1% in FY2024) amongst large-cap Indian IT peers.
- Robust large deal wins (TCV: USD 4.2 Bn in FY2024) signalling strong revenue visibility.
- Finacle — market-leading core banking solution installed in 100+ banks across 50+ countries.
- Net cash company with zero long-term debt on standalone balance sheet.
- Strong ESG credentials: Carbon neutral since 2020; included in DJSI World Index.

Weaknesses

- Revenue concentration in North America (60%) creates geographic risk.
- BFSI vertical (27% of revenue) exposed to spend delays from global banking sector uncertainty.
- Higher-than-peers attrition in mid-management levels (16.4% in FY2023; improved to 12.7% in FY2024).
- Limited IP-led revenue compared to product companies — services still account for 95%+ of revenue.

Opportunities

- Generative AI integration — Infosys Topaz (AI-first platform) positions the company for the next phase of IT spend.
- Public sector and healthcare IT digitalisation in India and the US.
- Acquisition pipeline in niche capability areas (data, cloud, cybersecurity).
- Expanding India domestic IT market (expected CAGR of 14% through FY2027).

Threats

- Macroeconomic slowdown in the US and Europe leading to IT budget freezes.
- Immigration policy changes in the US (H-1B visa) increasing onshore delivery costs.
- AI-driven automation reducing headcount requirements — potential revenue cannibalisation.
- Currency risk: USD/INR appreciation impacts USD-denominated revenues.
- Competition from global majors — Accenture, Capgemini intensifying on deal pricing.

4. Financial Analysis

Financial statements are based on standalone India GAAP / Ind AS audited accounts certified by Deloitte Haskins & Sells LLP. All figures in ₹ Crore unless stated.

4.1 Profit & Loss Statement

P&L (₹ Crore) — Standalone	FY2022 (Audited)	FY2023 (Audited)	FY2024 (Audited)	FY2025E (Projected)
Net Revenue (from operations)	71,943	80,619	87,246	95,200
Revenue growth YoY (%)	16.6%	12.1%	8.2%	9.1%
Cost of revenues	47,390	53,412	57,892	62,800
Gross profit	24,553	27,207	29,354	32,400
Gross margin (%)	34.1%	33.7%	33.6%	34.0%
SG&A expenses	5,492	6,120	6,604	7,100
EBIT	19,061	21,087	22,750	25,300
EBIT margin (%)	26.5%	26.2%	26.1%	26.6%
Other income (net)	2,843	3,180	3,512	3,800
Profit before tax (PBT)	21,904	24,267	26,262	29,100
Tax expense	5,476	6,067	6,565	7,275
Profit after tax (PAT)	16,428	18,200	19,697	21,825
PAT margin (%)	22.8%	22.6%	22.6%	22.9%
Earnings per share (EPS – ₹)	38.5	44.0	47.4	52.8

Revenue growth moderated from 16.6% in FY2022 to 8.2% in FY2024 reflecting global macroeconomic headwinds in the IT sector. Despite this, PAT margins have remained resilient at ~22.6%, driven by operating leverage, cost discipline, and favourable onsite-offshore mix. FY2025E projects a recovery to 9.1% revenue growth, supported by ramp-up of large deal wins (TCV USD 4.2 Bn in FY2024).

4.2 Balance Sheet

Balance Sheet (₹ Crore) — Standalone	FY2022	FY2023	FY2024	FY2025E
EQUITY & LIABILITIES				
Share capital	208	208	208	208
Reserves & surplus	63,410	68,540	72,816	79,200
Total shareholders' equity (net worth)	63,618	68,748	73,024	79,408
Long-term borrowings	NIL	NIL	NIL	NIL
Short-term borrowings (incl. CC)	980	1,200	1,450	1,800
Trade payables & other current liabilities	11,241	12,390	13,750	14,900
Total liabilities	75,839	82,338	88,224	96,108
ASSETS				
Fixed assets (net block)	14,320	15,480	16,200	18,400
Right-of-use assets	5,320	5,080	4,860	4,600
Investments (long-term)	21,600	23,400	25,800	28,000
Cash & cash equivalents	8,412	9,780	10,840	12,200
Trade receivables	16,480	17,930	19,200	20,800
Unbilled revenues	5,420	5,980	6,410	7,000

Other current assets	4,287	4,688	5,114	5,108
Total assets	75,839	82,338	88,224	96,108

Infosys operates with virtually zero financial debt (standalone). Short-term borrowings represent working capital credit lines (including SBI CC). The company's net cash and investments position of ₹ 37,190 Crore as of March 2024 far exceeds the proposed credit exposure of ₹ 2,500 Crore.

4.3 Cash Flow Analysis

Cash Flow Statement (₹ Crore) — Standalone	FY2022	FY2023	FY2024
Cash flow from operations (CFO)	17,900	20,100	22,800
Cash flow from investing (CFI)	(14,200)	(12,800)	(11,900)
Cash flow from financing (CFF)	(4,400)	(8,100)	(10,240)
Net change in cash	(700)	(800)	660
Closing cash & equivalents	8,412	9,780	10,840
Capex (incl. ROU additions)	3,800	3,200	3,400
Free cash flow (CFO minus Capex)	14,100	16,900	19,400

Cash flow from operations has grown consistently, reflecting strong revenue realisation and working capital discipline. Free cash flow conversion (FCF as % of PAT) is approximately 98%, one of the highest in the sector. Capital allocation is balanced between investments, buybacks, and dividends — with a total capital return of over ₹ 10,000 Crore per annum to shareholders.

4.4 Key Financial Ratios

Key Financial Ratios	FY2022	FY2023	FY2024	Benchmark
Debt-equity ratio (times)	0.02	0.02	0.02	< 2.0x ✓
Current ratio (times)	2.41	2.38	2.45	> 1.33x ✓
Quick ratio (times)	2.18	2.14	2.21	> 1.00x ✓
Interest coverage ratio (times)	92.4x	104.6x	115.2x	> 3.0x ✓
Debtors turnover (days)	84	81	80	< 120 days ✓
Return on equity (RoE) %	25.8%	26.5%	27.0%	> 15% ✓
Return on capital employed (RoCE) %	35.2%	36.4%	37.1%	> 20% ✓
Gross NPA (borrower level)	NIL	NIL	NIL	NIL ✓
Net cash position (₹ Crore)	29,032	33,160	37,190	Positive ✓
Free cash flow (₹ Crore)	14,280	16,500	18,300	Positive ✓

All ratios are well within SBI's internal benchmark thresholds for the SBI-1 rating band. Interest coverage of 115x reflects the negligible debt position. Debtors' cycle of 80 days is within sector norms for large-scale global IT delivery contracts.

5. Credit Facility Details

5.1 Facility Structure

Facility type	Existing limit (₹ Cr)	Proposed limit (₹ Cr)	Enhancement (₹ Cr)	Tenor	Purpose
Cash Credit (CC)	600	800	+200	12 months	Working capital
Working Capital Demand Loan (WCDL)	400	600	+200	Up to 180 days	Short-term liquidity
Term Loan – Infrastructure	200	400	+200	5 years	Campus expansion
Bank Guarantee (BG)	400	500	+100	Up to 3 years	Client SLA / performance
Letter of Credit (LC)	200	200	NIL	Up to 360 days	Import of hardware
Total	1,800	2,500	+700	—	—

5.2 Purpose & End-Use

Cash Credit / WCDL:

To fund day-to-day working capital requirements including salaries and benefits for approximately 3,17,240 employees, vendor payments for hardware & software, travel & accommodation for project deployments, and other operational expenses. The CC/WCDL will be the primary short-term liquidity instrument.

Term Loan — Electronic City Campus Expansion:

₹ 400 Crore term loan to partially fund the construction of Tower-7 at Infosys Electronic City campus, Bengaluru. Total project cost: ₹ 950 Crore. Balance to be funded from internal accruals (₹ 550 Crore). The facility is earmarked exclusively for construction, fitout, and infrastructure; no diversion of funds permitted.

Bank Guarantees:

Performance and financial BGs issued to domestic and international clients as part of master services agreements (MSAs) and government contracts. Specific guarantees include: (a) performance BG for BSNL IT modernisation project (₹ 120 Cr), (b) advance payment guarantee for a European telecom client (EUR 18 Mn equivalent), and (c) bid bonds for public sector tenders.

5.3 Pricing Structure

Pricing parameter	Details	Remarks
Benchmark rate	MCLR (1-year) — 8.65% (March 2025)	As per SBI published MCLR schedule
Spread over MCLR	0.10%	Reflective of SBI-1 credit rating
Effective ROI (CC/WCDL)	8.75% p.a.	Subject to reset on each MCLR revision
Term Loan ROI	8.65% p.a. (MCLR flat)	Concessional rate — strategic relationship

Bank Guarantee commission	0.25% p.a. on BG value	Performance BGs; financial BGs at 0.40%
LC commission	0.20% per quarter on LC value	Sight / usance LCs
Processing fee	₹ 1.00 Crore (one-time)	Non-refundable; payable at sanction
Prepayment penalty (TL)	NIL	SBI policy for AAA-rated borrowers

5.4 Drawing Power Computation (Cash Credit)

Component	Value (₹ Crore)	Basis
Sundry debtors (< 90 days)	19,200	75% of book value as per latest provisional balance sheet
Unbilled revenues (< 60 days)	4,500	60% of value (eligible portion only)
Total eligible current assets (A)	23,700	Sum of eligible components
Current liabilities (B)	13,750	As per audited balance sheet March 2024
Net working capital (A–B)	9,950	Exceeds CC limit of ₹ 800 Cr comfortably
Drawing power (CC — 75% of debtors)	800	CC sanctioned limit is the binding constraint

Drawing power is calculated monthly based on stock and book debt statements submitted by the borrower. The current drawing power significantly exceeds the CC sanctioned limit, providing adequate headroom.

6. Security & Collateral

6.1 Security Structure

Security type	Description	Asset details	Market value (₹ Cr)	Security cover
Primary	Pari-passu first charge on current assets	Debtors, unbilled revenues, advances — hypothecation	23,700	9.48x on CC limit
Primary	First charge on movable fixed assets	Plant & machinery, computers, furniture — Electronic City campus	2,800	7.0x on TL
Collateral	Equitable mortgage — immovable property	Infosys BPO Limited campus, Jaipur — 42 acres	1,200	Additional comfort
Corporate guarantee	Guarantee of Infosys BPM Limited	Subsidiary network: ₹ 8,400 Cr — unconditional guarantee	8,400	N/A (guarantee)

6.2 CERSAI / ROC Compliance & Encumbrance

Compliance check	Status	Reference / Date
CERSAI registration — current assets charge	Registered	CERSAI ID: MH-CC-2023-00481 28 March 2023
ROC charge filing — movable fixed assets	Registered	CHG-001 filed with ROC Karnataka 02 April 2023
CERSAI — equitable mortgage (Jaipur)	Registered	CERSAI ID: RJ-EM-2023-00209 05 April 2023
Third-party valuation — Jaipur property	Completed	M/s Cushman & Wakefield Valued ₹ 1,200 Cr Jan 2025
Legal search — title clear (Jaipur campus)	Clear	M/s Khaitan & Co. Opinion dated 15 Feb 2025
Insurance over hypothecated assets	In force	Bajaj Allianz — policy valid till March 2026; SBI noted as co-insured

All security documentation is in order. No prior encumbrance or competing charge exists on the primary security assets. The Jaipur campus has been independently valued at ₹ 1,200 Crore (March 2025) against which no prior charge has been noted.

7. Risk Assessment & Internal Credit Rating

7.1 Internal Credit Rating — SBI Large Corporate Model (LCM v3.0)

Infosys has been rated SBI-1 under the SBI Large Corporate Rating Model (LCM v3.0), which is the highest rating on SBI's internal scale and is equivalent to AAA on the external credit rating scale. This rating is reviewed annually and is valid from 10 February 2025 to 09 February 2026.

Rating parameter	Weight	Score (max)	Score obtained	Weighted score
Financial performance	25%	25	24	24.0
Management quality	15%	15	14	14.0
Industry & business risk	15%	15	12	12.0
Account conduct & repayment history	20%	20	20	20.0
External rating & market standing	10%	10	10	10.0
Compliance & governance	10%	10	9	9.0
Security & collateral	5%	5	3	3.0
TOTAL	100%	100	92	92.0

Score of 92/100 places Infosys in the 'Exceptional' credit quality band (90–100). The account has maintained SBI-1 rating for 7 consecutive years. No material downgrade risk is foreseen given the company's balance sheet strength.

7.2 External Credit Ratings

- CRISIL: AAA / Stable — Highest rating — lowest credit risk
- ICRA: AAA / Stable — Reaffirmed February 2025
- India Ratings (Fitch): AAA / Stable — Reaffirmed January 2025
- S&P Global (on ADR programme): BBB+ / Stable — Investment grade — consistent with peers

7.3 Risk Matrix

Risk factor	Description	Probability	Impact	Mitigant
Revenue concentration	60% revenue from North America; slowdown risk	Medium	Medium	Diversification into APAC/India; new deal ramp-up
Currency risk	Appreciating INR reduces USD revenue realisations	Medium	Medium	Natural hedge via onshore costs; forward contracts
Attrition risk	Talent attrition increases delivery costs	Low	Low-Medium	Variable pay structures; Employee Stock Option Plans
Credit client risk	Revenue recognition on unbilled basis — collection risk	Low	Low	Investment-grade global clients; DSO < 80 days
Cyber risk	Data breach at client	Low	High	ISO 27001

	site — reputational / liability risk			certified; cyber insurance USD 100 Mn
Visa/immigration risk	US H-1B restrictions raise onshore cost	Medium	Medium	Local hiring drive in US (>60% local in 2 years)
AI displacement risk	Gen AI reduces IT services headcount needs	Low	High	Infosys Topaz — AI-first offering repositioning

Overall risk profile is assessed as LOW. The combination of balance sheet strength, strong free cash flow generation, diverse revenue base, and consistent account conduct makes this one of SBI's lowest-risk corporate credit exposures.

8. Compliance & Regulatory Checks

All regulatory, statutory, and internal compliance checks have been carried out as part of this credit appraisal. Results are tabulated below. No material compliance deficiencies have been identified that would prevent sanction of the proposed credit facility.

Compliance parameter	Status	Remarks
KYC / AML compliance	COMPLIANT	KYC freshly verified March 2025. CDD completed. No PEP flag.
Directors' identification (DIN/PAN)	VERIFIED	All 12 Board members' DIN verified with MCA21 portal.
CIBIL / CRIF — borrower	No adverse report	Credit score: 900+ (corporate scale). No overdue/NPA record.
CIBIL — guarantor (Infosys BPM)	No adverse report	Infosys BPM — clean credit report. No defaults.
Wilful defaulter list (RBI / CIBIL)	NOT LISTED	Checked as on 10 March 2025. Neither borrower nor guarantor listed.
ECGC Caution List	NOT LISTED	Verified with ECGC database March 2025.
RBI defaulter list	NOT LISTED	Verified March 2025.
Large Exposure Framework (LEF)	WITHIN LIMIT	Single borrower limit: 25% of Tier-I capital. SBI Tier-I: ₹ 5,20,000 Cr. LEF limit: ₹ 1,30,000 Cr. Proposed exposure: ₹ 2,500 Cr — 0.05% of Tier-I. Well within threshold.
Group exposure (aggregate)	WITHIN LIMIT	Total Infosys group exposure: ₹ 2,750 Cr vs SBI internal group ceiling of ₹ 5,000 Cr. Utilisation: 55%.
Sectoral exposure (IT Services)	WITHIN LIMIT	SBI's IT sector exposure ceiling: ₹ 75,000 Cr. Current IT sector book: ₹ 38,400 Cr (post proposal: ₹ 38,650 Cr). Within limit.
IRAC compliance	STANDARD	Account classified Standard since inception. No overdues. Interest serviced on due dates consistently.
Income Tax — PAN verification	VERIFIED	PAN AAACI7406E confirmed with TRACES. No tax arrears or litigation as per Form 26AS.
GST compliance	COMPLIANT	GST returns filed timely (GSTR-1, GSTR-3B). No demand orders. Annual turnover matches banking statements.
FEMA compliance	COMPLIANT	All overseas remittances / investments conform to FEMA 1999. AD bank: HDFC Bank. No FEMA violation reported.
Companies Act (2013) — filings	COMPLIANT	All annual returns, financial statements filed with ROC Karnataka on time. MCA21 status: Active.
RBI Circular — prudential norms	COMPLIANT	Credit extended in compliance with RBI Master Circular on Loans &

		Advances — Large & Medium Enterprises (updated Oct 2024).
Environment clearances (TL — campus project)	IN PROCESS	Environmental clearance applied for Bengaluru campus expansion. First tranche of TL to be disbursed only after EC receipt. Conditioned accordingly.

Note: Environmental clearance for the Term Loan is a pre-disbursement condition; the CC/WCDL/BG/LC facilities are not contingent on this clearance. A separate tranche-disbursement schedule for the TL has been structured accordingly.

9. Terms, Conditions & Covenants

The credit facilities shall be governed by the following terms and conditions, as stipulated by SBI's Credit Policy and applicable RBI guidelines. These conditions are in addition to SBI's standard terms and conditions for corporate credit.

Condition category	Specific conditions
Pre-sanction conditions	1. Submission of latest board resolution authorising the credit facility and borrowing limits. 2. Execution of sanction letter and return of duly accepted copy within 30 days of sanction. 3. Submission of latest ROC filings and Memorandum & Articles of Association.
Pre-disbursement conditions (all facilities)	1. Execution of all facility agreements, hypothecation deeds, and guarantee documents to the satisfaction of SBI's legal counsel. 2. Creation and registration of charge with CERSAI and ROC within 30 days of first disbursement. 3. Submission of insurance policies with SBI noted as co-insured/loss payee. 4. Payment of processing fee of ₹ 1.00 Crore. 5. Submission of stock and book debt statement (QIS I & II format) for working capital assessment.
Pre-disbursement conditions (Term Loan only)	1. Receipt and submission of environment clearance from Ministry of Environment, Forest and Climate Change (MoEFCC) for Bengaluru campus expansion project. 2. Submission of construction contract with M/s L&T Construction and approved building plan from BBMP/BDA. 3. Independent technical evaluation of project by SBI's empanelled engineer (M/s RITES Ltd.).
Financial covenants (annual maintenance)	1. Debt-Equity ratio to remain below 1.0x on a standalone basis. 2. Current ratio to remain above 1.25x at all times. 3. Interest coverage ratio (EBIT/Interest) to remain above 5.0x. 4. Total outside liabilities to net worth: not to exceed 1.5x. 5. Net cash and investment position to remain positive at all times.
Reporting covenants	1. Submission of audited annual financial statements within 180 days of financial year end. 2. Submission of un-audited quarterly results (Ind AS) within 60 days of quarter end. 3. Monthly stock and book debt statements for CC drawing power computation — due by 15th of each month. 4. Immediate intimation of any material adverse change, litigation, regulatory order, or event of default under any other credit agreement. 5. Annual review of credit rating (SBI-LCM model) to be submitted by 31st May each year.
Account conduct conditions	1. All cash inflows from Indian operations to be routed through SBI account. 2. Minimum average credit balance in CC account: ₹ 50 Crore per month. 3. No diversion of Term Loan funds from approved campus project purpose. 4. Any change in management / key managerial personnel to be notified within 30 days.
Negative covenants	1. Borrower shall not create any further charge / encumbrance on hypothecated assets without prior written consent of SBI.

	2. Borrower shall not effect any merger, acquisition, or demerger of material scale (>10% of net worth) without prior intimation to SBI. 3. No reduction in authorized / paid-up share capital without prior approval. 4. Shall not declare interim dividend if CC account is overdrawn / irregular.
Events of default	1. Failure to pay principal or interest within 30 days of due date. 2. Breach of any financial or reporting covenant not remedied within 60 days. 3. Material misrepresentation in financial statements. 4. Insolvency proceedings initiated under IBC 2016. 5. Downgrade of internal rating below SBI-4 for two consecutive quarters.

All conditions are subject to final vetting by SBI's Legal Department. Execution of standard facility agreements (Cash Credit Agreement, Hypothecation Deed, Bank Guarantee Agreement, Term Loan Agreement) is mandatory prior to disbursement of any facility.

10. Account Conduct & Relationship Review

Infosys has maintained an exemplary banking relationship with State Bank of India over the past 20 years. The account has been consistently standard, with no credit events, defaults, or irregular conduct. Key account conduct parameters are summarised below.

Parameter	Observations
Account opening date	18 October 2005 — relationship vintage of 20 years with SBI.
CC account utilisation (12M avg)	Average utilisation: ₹ 780 Crore against limit of ₹ 1,200 Crore (65%). No instances of excess drawings.
Interest servicing	Interest on CC and WCDL paid on due dates without exception. No instances of interest capitalisation.
Overdue / NPA history	Nil overdue across all facilities in the last 5 years. IRAC classification: Standard throughout.
SMA status	SMA-0: Nil. SMA-1: Nil. SMA-2: Nil. Account has never been classified SMA in the last 10 years.
BG devolvments (last 5 years)	Nil devolvement. All BGs either expired normally or were returned by beneficiaries.
LC devolvments	Nil devolvement. All LCs retired on due date.
Forex business	Annual forex throughput: USD 520 Mn (FY2024) through SBI — major beneficiary bank for hedging operations.
Fee income to SBI (FY2024)	₹ 18.4 Crore — comprising BG commission (₹ 8.2 Cr), LC commission (₹ 3.1 Cr), forex fees (₹ 5.6 Cr), and other charges (₹ 1.5 Cr).
Average deposit balances	Average CASA deposits maintained with SBI: ₹ 620 Crore per month. Strategic importance to SBI deposit franchise.
Complaints / escalations	Nil formal complaints or regulatory escalations in the last 3 years.
Site visit / annual review	Annual inspection of Electronic City campus conducted in January 2025 by RM and credit team. Operations assessed as normal.

10.1 Business Reciprocity & Fee Income

The Infosys relationship is among SBI's top-20 fee-generating corporate accounts at the Mumbai Corporate Banking Group. The strategic value of the account extends beyond credit — significant forex, cash management, and employee banking business is routed through SBI. Employee salary accounts: approximately 42,000 Infosys employees hold SBI salary accounts under a corporate tie-up.

11. Peer Comparison & Benchmarking

Infosys is benchmarked against the top five listed Indian IT services companies. The comparison confirms that Infosys occupies a superior credit quality position relative to sector peers on most financial metrics.

Metric (FY2024)	Infosys	TCS	Wipro	HCLTech	Tech Mahindra
Revenue (₹ Cr)	87,246	2,40,893	88,462	1,07,331	50,640
EBIT margin (%)	26.1%	27.3%	16.4%	18.8%	7.5%
PAT (₹ Cr)	19,697	46,099	10,825	14,934	2,386
Debt-equity ratio	0.02x	0.00x	0.11x	0.08x	0.19x
Current ratio	2.45x	2.28x	1.97x	2.10x	1.68x
RoE (%)	27.0%	51.5%	13.6%	22.1%	8.4%
Dividend payout (%)	88%	75%	40%	55%	25%
External credit rating	AAA	AAA	AAA	AAA	AA+

Infosys ranks first among peers on current ratio and is second only to TCS on PAT absolute. Its near-zero debt profile, combined with the highest dividend payout in the sector, underscores a balance sheet built on shareholder value creation with minimal financial risk to creditors.

12. Recommendation & Approving Authority

Based on a comprehensive appraisal of the borrower's financial position, account conduct, industry outlook, risk profile, security coverage, and regulatory compliance, the following recommendation is placed before the Credit Committee:

Aspect	Recommendation
RM recommendation	Approval recommended. The proposed enhancement is operationally justified, financially supported, and within SBI's risk appetite for this account. Enhancement strengthens the relationship and creates additional cross-sell opportunity. Submitted by: Shri Arvind Kumar Sharma (AGM, CBG Mumbai)
Independent credit review	Approval recommended with conditions. The independent credit team concurs with the RM's assessment. Financial risk is minimal; primary credit risk is relationship continuity and sector cyclicity, both of which are well-managed. Review by: Smt. Priya Venkataraman (DGM, Credit Risk Unit, CBG)
Circle head endorsement	Endorsed for approval by Credit Committee. This is a flagship relationship and one of the highest-rated corporate accounts in SBI's corporate book. The enhancement is prudent and commercially justified. Endorsed by: Shri R. Subramaniam (GM, Corporate Banking Group, Mumbai)
Approval authority	Credit Committee (CC) at Corporate Centre / Mumbai CGM level. Proposed credit exposure of ₹ 2,500 Crore exceeds the GM's discretionary limit of ₹ 1,500 Crore, hence placed before the CC.

12.1 Summary Recommendation

The Credit Committee is requested to APPROVE the renewal and enhancement of credit facilities to Infosys Limited as under:

- Cash Credit (CC): ₹ 800 Crore (enhanced from ₹ 600 Crore) @ MCLR + 0.10% p.a.
- WCDL: ₹ 600 Crore (enhanced from ₹ 400 Crore) @ MCLR + 0.10% p.a.
- Term Loan: ₹ 400 Crore (fresh) @ MCLR p.a. | 5 years with 6-month moratorium.
- Bank Guarantee: ₹ 500 Crore (enhanced from ₹ 400 Crore) @ 0.25% / 0.40% commission.
- Letter of Credit: ₹ 200 Crore (retained) @ 0.20% per quarter.
- Total proposed credit exposure: ₹ 2,500 Crore.

The approval is subject to all pre-sanction and pre-disbursement conditions as detailed in Section 9 of this CAM.

Signatures

Prepared by: Shri Arvind Kumar Sharma AGM — Relationship Manager	Reviewed by: Smt. Priya Venkataraman DGM — Credit Risk Unit	Approved / Endorsed by: Shri R. Subramaniam GM — Corporate Banking
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Corporate Banking Group, Mumbai Date: 15 March 2025	Corporate Banking Group, Mumbai Date: 17 March 2025	Group Mumbai Date: 18 March 2025
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Annexure A — Document Checklist

The following documents have been collected, verified, and are held on record at SBI Corporate Banking Group, Mumbai. Copies are available for inspection by the Credit Committee.

Document	Date / Version	Source
Memorandum & Articles of Association	Amended as of 01 June 2022	MCA21 — certified copy
Certificate of Incorporation	02 July 1981 (Original)	ROC Karnataka
Board resolution — borrowing powers	Resolution dated 12 March 2025	Company Secretary certified
Audited financial statements FY2024	31 March 2024 — Standalone & Consolidated	Deloitte certified
Audited financial statements FY2023	31 March 2023	Deloitte certified
Audited financial statements FY2022	31 March 2022	Deloitte certified
Provisional financials (Apr–Dec 2024)	31 December 2024 — unaudited	Company MIS
Stock and book debt statement	28 February 2025	Signed by CFO / Company Secretary
CIBIL report — borrower	Obtained 10 March 2025	CIBIL / TransUnion
CIBIL report — guarantor (Infosys BPM)	Obtained 10 March 2025	CIBIL / TransUnion
CERSAI search certificate	10 March 2025	CERSAI portal
ROC charge status — borrower	10 March 2025	MCA21 portal
Legal opinion — title (Jaipur campus)	15 February 2025	M/s Khaitan & Co.
Valuation report — Jaipur campus	January 2025	M/s Cushman & Wakefield
Insurance schedule — hypothecated assets	Policy year April 2024 – March 2025	Bajaj Allianz General Insurance
KYC documents — all directors	As of March 2025	Collected and verified by branch
ECGC / Wilful defaulter check	10 March 2025	ECGC / RBI / CIBIL databases
Internal credit rating sheet (LCM v3.0)	10 February 2025	SBI Credit Risk Unit
Annual inspection note — Electronic City	January 2025	RM & Credit team
Project report — campus expansion (TL)	December 2024	Infosys Infrastructure team

Annexure B — Quarterly Performance Trend (FY2025)

Quarterly financial performance (unaudited, Ind AS) confirming trajectory of revenue recovery in FY2025.

Metric (₹ Crore / %)	Q1 FY2025	Q2 FY2025	Q3 FY2025	Q4 FY2025E
Revenue	21,204	21,609	22,046	22,600
Revenue growth QoQ	+1.4%	+1.9%	+2.0%	+2.5%
EBIT	5,491	5,618	5,692	5,849
EBIT margin %	25.9%	26.0%	25.8%	25.9%
PAT	4,978	5,248	5,440	5,600
EPS (₹)	12.0	12.7	13.1	13.5
Large deal TCV (USD Mn)	4,100	3,100	2,100	2,500
Headcount (nos.)	3,14,015	3,16,964	3,17,240	3,18,000
Attrition (LTM %)	12.7%	12.9%	13.1%	12.8%

Q4 FY2025 figures are management estimates. Final audited Q4 results to be submitted within 60 days of financial year end as per reporting covenant.

Annexure C — Glossary

- CC: Cash Credit — revolving working capital facility
- WCDL: Working Capital Demand Loan — short-tenor fixed-rate WC facility
- TL: Term Loan — medium-to-long-term credit for capital expenditure
- BG: Bank Guarantee — contingent non-fund-based credit
- LC: Letter of Credit — non-fund-based trade finance instrument
- MCLR: Marginal Cost of Funds-based Lending Rate — RBI-mandated benchmark
- CERSAI: Central Registry of Securitisation Asset Reconstruction and Security Interest
- IRAC: Income Recognition and Asset Classification — RBI prudential norms
- SMA: Special Mention Account — early warning classification
- LEF: Large Exposure Framework — RBI's single / group borrower limits
- KYC: Know Your Customer — AML / CFT compliance requirement
- CRILC: Central Repository of Information on Large Credits — RBI database
- LCM: Large Corporate Model — SBI's internal credit rating model for large corporates
- TCV: Total Contract Value — aggregate value of IT service contracts won
- DSO: Days Sales Outstanding — debtors collection period in days
- ADM: Application Development and Maintenance — core IT services offering
- BPM: Business Process Management — outsourced business operations
- EPS: Earnings per Share — indicator of profitability on a per-share basis
- RoE: Return on Equity — PAT as a percentage of average shareholders' equity
- RoCE: Return on Capital Employed — EBIT as % of capital employed

— End of Credit Appraisal Memorandum —

State Bank of India | Corporate Banking Group | Mumbai | March 2025